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growth in weddings in 2023 and double-digit growth in MICE business in 2024.

Weddings are so important for the group that it has introduced Hyatt Superstars, a rewards programme designed to recognise and celebrate the contribution of wedding and event planners. Even city hotels have become destination wedding spots for some. The Fairmont Mumbai has hosted two “destination” weddings; several more are in the pipeline. Since opening in April, it has hosted over 20 MICE events. “Our location next to the Mumbai airport and our huge banqueting spaces make it ideal,” says Nitán Chhatwal, Chairman & MD, Shrem Group, the owner of the hotel.

Chadha says earlier, if corporate travel was not generating numbers, hoteliers focused on leisure or weddings or MICE.

“But today all four cylinders are firing at the same time.” Occupancy rates for ITC have increased from 69% to 73% in the past one year.

Vineet Mishra, Vice President – Operations Accor India & South Asia, says occupancy is predicted to touch 74% across the portfolio. “While our primary focus remains driving growth through average rates in 2025, we anticipate a further 3–5% increase in occupancy in 2026.”

Higher occupancy is also leading to higher RevPar (revenue per average room). Overall, for luxury hotels, in the last three years, the RevPar has nearly doubled compared to other hotel segments, achieving a compound annual growth rate of around 16%, according to Hotelivate.

But will the addition of new rooms lead to a drop in RevPar? Industry observers don’t think so. “Demand is likely to outstrip supply, especially in gateway cities and high-value leisure destinations, ensuring pricing power and occupancy strength for well-positioned operators,” says Lamba of HVS ANAROCK.

Supporting these shifts is a wave of investment. JLL projects \$1 billion hotel investments by 2028, nearly triple the \$340 million recorded last year. However, India remains deeply underpenetrated in luxury hospitality compared with its peers. As of 2024, it had only 23 luxury keys per million residents, versus 973 in Australia, 690 in Thailand, and 177 in China. This shows that while the new additions are welcome, there is still a lot of headroom for growth.

With domestic demand rising, foreign brands committing, and capital flowing, India’s luxury hospitality market is no longer a niche defined by a few palace hotels. It is becoming a national industry—one measured not just in rooms and revenues, but in scale, experiences, and the redefinition of what luxury means for a new generation of Indian travellers. **BT**

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